Type MS · Wage income from an hourly rate

Answer 1 of 2 · Question 4 part a · 2 marks

2020 JAN · Paper 01 (regional R) · extract 1 of 4 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing correct calculation €5.87 x 175 **(1)** Award 1 mark for calculating correct monthly gross income = €1 027.25 **(1)** Award 1 mark if monthly gross income is calculated as 1 027.25 with or without calculation Award 2 marks if monthly gross income is accurately calculated as €1 027.25, even if no calculations are shown	**(2)**

Type MS · Wage income from an hourly rate

Answer 1 of 2 · Question 4 part a · 2 marks

2020 JAN · Paper 01 (regional R) · extract 2 of 4 · find part a in this mark scheme extract

Question number	Indicative content		
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Economies of scale occur when average costs fall as a firm expands • Internal economies of scale can be purchasing, marketing, technical, financial, managerial or risk bearing • By joining the Sky Team, Vietnam Airlines is able to operate as if it is a larger airline as the 19 airlines can share some of the costs • Vietnam Airlines could share marketing costs, such as advertising with some of the other airlines in the Sky Team to reduce its average costs • Vietnam Airlines may be able to offer more routes or make improvements to planes through cooperation with other member airlines such as KLM or China Airlines, therefore benefitting from technical economies of scale • This may mean Vietnam Airlines can attract more passengers and so its average costs are reduced as each flight is more likely to be full • This means Vietnam Airlines may be able to expand and benefit further from other economies of scale		
Level	**Mark**	**Descriptor**	
	0	No rewardable material.	
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).	
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).	
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).	

Type MS · Wage income from an hourly rate

Answer 1 of 2 · Question 4 part a · 2 marks

2020 JAN · Paper 01 (regional R) · extract 3 of 4 · find part a in this mark scheme extract

Question number	Indicative content
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Division of labour means dividing the production process into different stages where each worker specialises in one task • Productivity is the amount of output that can be produced in a period of time, with a given quantity of resources • Division of labour leads to less time being wasted as workers will not have to switch between different parts of production such as mixing ingredients and kneading the dough • This means the employees at the noodle-making factory can become more productive as they will be able to carry out each task quicker than if constantly changing between roles • The employees may also be more productive as they are able to develop skills in the task they perform, becoming more specialised • This may be particularly important in order for Wong's factory to meet the demand of the 70% of noodle-based food stalls in Jenjarum, to whom it sells **AO4** • However, the noodle-making factory employees may find doing the same task, such as cutting noodles to various sizes, very boring and monotonous • This could mean they lose concentration and may make mistakes, leading to a lower rate of productivity • Therefore a delay in supplying the noodle stalls in Jenjarum could occur and could lead to a loss of business for the factory • Improving the quality of labour by training employees to use noodle-making equipment could increase productivity more, as could investing in more advanced noodle-making machinery • It depends whether the noodle-making tasks require much training as they maybe more suited to the division of labour process • Wong could introduce rotation of tasks to reduce the monotony or use division of labour alongside other factors, such as more advanced machinery

Type MS · Wage income from an hourly rate

Answer 1 of 2 · Question 4 part a · 2 marks

2020 JAN · Paper 01 (regional R) · extract 4 of 4 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Wage income from an hourly rate

Answer 2 of 2 · Question 1 part b · 1 mark

2024 JUN · Paper 01 · extract 1 of 5 · find part b in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** Infinity A is not correct because this is unitary elasticity B is not correct because demand is price inelastic C is not correct because this is perfectly price inelastic demand	**(1)**

Question number	A country has a minimum wage of €6.04 per hour. If a worker provides 35 hours of labour in a week, the lowest weekly wage the worker can earn is **Answer**	**Mark**
1(b)	**AO2 1 mark** The only correct answer is: **C** €211.40 A is not correct because this is only one hour of labour B is not correct because this is less than the minimum wage for a 35-hour week D is not correct because this is not the lowest amount that can be earned	**(1)**

Question number	What is meant by the term mixed economy? **Answer**	**Mark**
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition The state/public and private sectors **(1)** provide goods/services between them **(1)** Accept any other appropriate response	**(2)**

Type MS · Wage income from an hourly rate

Answer 2 of 2 · Question 1 part b · 1 mark

2024 JUN · Paper 01 · extract 2 of 5 · find part b in this mark scheme extract

Question number	State **one** example of an occupation that is in the tertiary sector of an economy. **Answer**	Mark
1(d)	**AO1 1 mark** Award 1 mark for a correct example • Teacher/Retailer/Banker Accept any other appropriate response	**(1)**

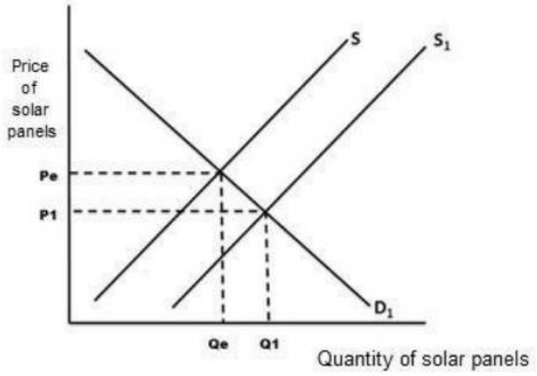
Question number	Define the term producer. **Answer**	Mark
1(e)	**AO1 1 mark** Award 1 mark for a correct definition A person/company/country that makes/creates goods/services Accept any other appropriate response	**(1)**

Question number	Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 7% and quantity demanded increases by 11%. You are advised to show your working. **Answer**	Mark
1(f)	**AO2 2 marks** Award 1 mark for showing correct calculation 11% ÷ 7% **(1)** Award 1 mark for correct income elasticity of demand (YED) = 1.57 **(1)** Award 2 marks if YED is correctly calculated as 1.57, even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Wage income from an hourly rate

Answer 2 of 2 · Question 1 part b · 1 mark

2024 JUN · Paper 01 · extract 3 of 5 · find part b in this mark scheme extract

Question number	Using the diagram below, draw the likely effects on the market for solar panels if the government removes an indirect tax on them. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	**Mark**
1(g)	**AO2 3 marks** Award 1 mark for a rightward shift of supply, labelled Award 1 mark for a lower equilibrium price, labelled Award 1 mark for a higher equilibrium quantity, labelled 	**(3)**

Question number	Explain one possible opportunity cost for Casper of this decision. **Answer**	**Mark**
1(h)	**AO2 3 marks** Award 1 mark for identifying a relevant opportunity cost Award 1 mark for developing the opportunity cost Award 1 mark for the response being in context • One opportunity cost is Casper may not be able to buy a new phone **(1)** because he does not have enough money for both **(1)** so he has to sacrifice the next best alternative when using the money he has to buy the television **(1)** Accept any other appropriate response	**(3)**

Type MS · Wage income from an hourly rate

Answer 2 of 2 · Question 1 part b · 1 mark

2024 JUN · Paper 01 · extract 4 of 5 · find part b in this mark scheme extract

Question number	With reference to the data above and your knowledge of economics, analyse **two** possible factors influencing Anastasia's decision to open a second club. **Indicative content**
1(i)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Factors influencing the growth of firms include the desire to spread risk, to take over competitors, access to finance, economies of scale and government regulation • The martial arts club has been successful for a few years, meaning Anastasia may have access to finance • Therefore, she may have enough finance with which to open a second club in another district of Budapest • Although the club is successful in District 16, Anastasia may wish to spread the risk • In case demand changes at her existing club the revenue from the second club is able to support the running of the firm

Level	Mark	Descriptor
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Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

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Answer 2 of 2 · Question 1 part b · 1 mark

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Question number	Which **one** of the following diagrams shows excess supply? **Answer**	**Mark**